

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2013-14

Paper No. BCH-212: Business Economics - I

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Define Business Economics. Discuss in brief the relationship of Business Economics with other branches of knowledge. [14]

OR

How does Business Economics differ from Traditional Economics? Explain in brief the responsibilities of a Business Economist. [14]

Question 2.

Explain the law of diminishing marginal utility. Are there exceptions to this law? [14]

OR

Explain the following: [7+7]

- (i) Concept of Indifference Curve
- (ii) Importance of consumer's surplus

Question 3.

State the law of demand and explain Giffen's Paradox. [14]

OR

Define Price Elasticity of Demand and state how it is measured? [14]

Question 4.

What do you understand by demand forecasting? Describe its significance and limitations. [14]

OR

Discuss the main criteria of a good demand forecasting technique. What are the methods of demand forecasting of a new product? [14]

Question 5.

Write a detailed note on 'The Law of Diminishing Return'. [14]

OR

Describe the internal economies and diseconomies of the scale. [14]

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